

THE INVEST^{igator}

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Wishing All Our Investors a Safe, Healthy & Happy Diwali

But Internal Story is Different

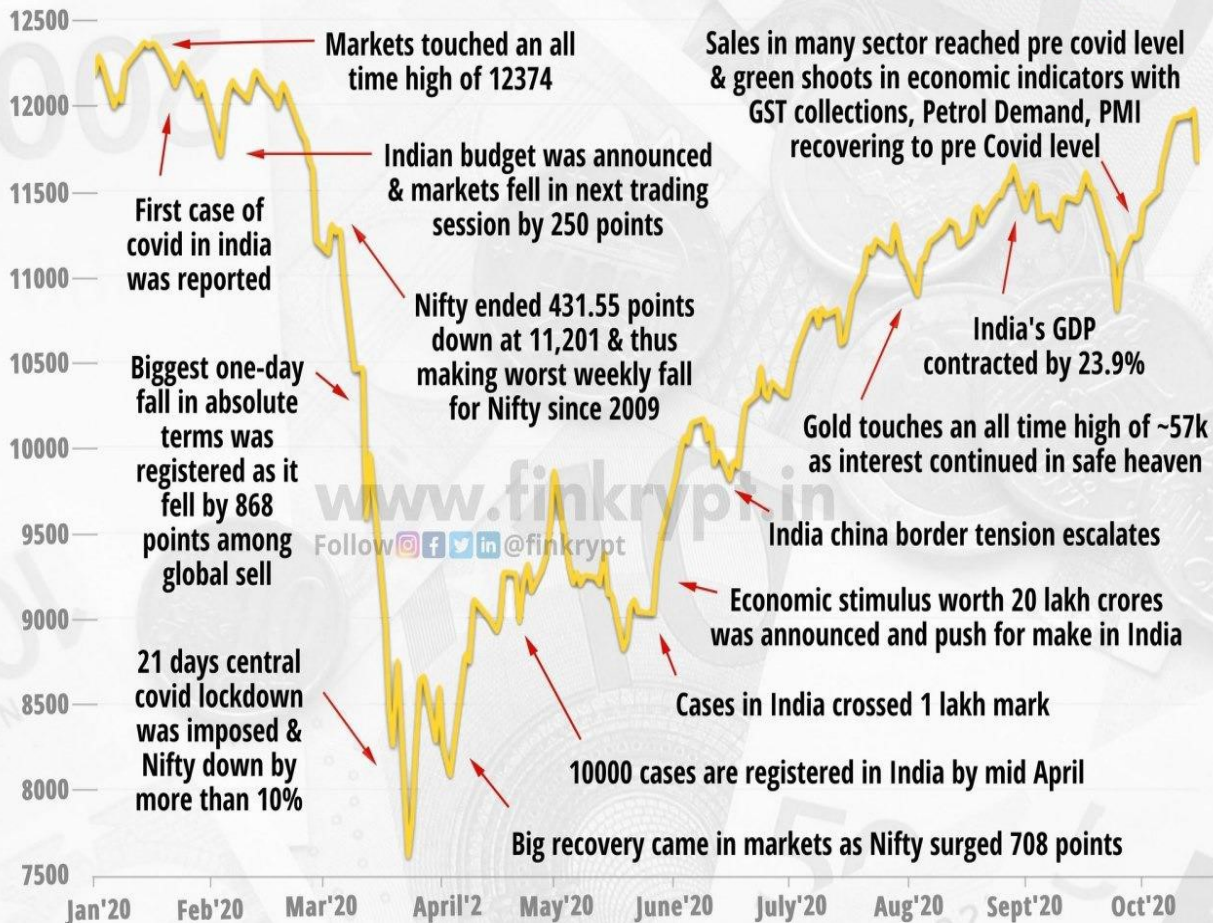
SENSEX IS BACK TO JANUARY 2020 LEVELS

BSE INDICES	31 JAN 2020	21 OCT 2020	CHANGE (%)
Sensex	40,723	40,707	-0
Bankex	35,289	27,969	-20.7
Finance	6,846	5,575	-18.6
Power	1,899	1,638	-13.7
Telecom	1,178	1,042	-11.5
Metal	9,494	8,534	-10.1
Consumer durables	26,147	24,505	-6.3
FMCG	11,641	11,001	-5.5
Auto	18,161	17,813	-1.9
Teck	7,911	9,982	26.2
IT	15,871	21,943	38.3
Healthcare	13,957	19,748	41.5

List of market crashes & returns that followed

Year	Reason	Decline	Return (3Y)
1987	Global Recession	40%	200%
1990	Indian Economic Crash	39%	320%
1992	Harshad Mehta Scam	56%	90%
1994	Global Bond Market Crash	41%	74%
1997	Asian Financial Crash	40%	12%
2000	Dot-com Crash	57%	110%
2004	Indian Elections	32%	238%
2006	High Inflation	30%	73%
2008	Global Crash	63%	124%
2011	European Debt Crash	12%	80%
2020*	Covid-19	37%	46% (6m)

THE CHRONICLES OF NIFTY50 & PANDEMIC



Contributors of the 4361 point rally from YTD low of March 23rd



5 Benefits of SIPs

- Lighter on the wallet**
- Makes market timing irrelevant**
- Enables rupee-cost averaging**
- Benefits from power of compounding**
- Helps in goal planning**

TAXATION ON GOLD

There are four ways to buy gold in India -- 1) Physical Gold via jewellery or coins 2) Gold mutual funds or ETFs 3) Digital gold 4) Sovereign Gold Bonds (SGB). When you sell Gold, you are taxed and the tax rate depends on the form it is purchased.

1. Tax on gains from physical gold via jewellery and coins.

The most common way of buying gold is in the form of jewellery and coins. The taxation for this form of gold depends on how long you held the gold jewellery or coins. If the gold is being sold within three years from the date of purchase then it is considered as short-term. The short-term capital gains are added to the income and taxed as per the applicable income tax slab. Gold sold after three years is considered as long-term and capital gains that arise are taxed at 20% after providing for indexation.

2. Tax on gains from gold mutual funds, gold ETFs.

Gold ETF invests its corpus in physical gold, aiming to track the price of gold. Gold mutual funds in turn invest in gold ETFs. Gains from gold ETFs and gold mutual funds are taxed just like physical gold.

3. Tax on digital gold

Digital gold is a new way to purchase and accumulate gold. Many banks, mobile wallets, and brokerage companies have tied up with MMTC-PAMP or SafeGold to sell gold through their apps. Gains from digital gold is also taxed just like physical gold or gold mutual funds or gold ETFs.

4. Tax on Sovereign Gold Bonds

These are government bonds denominated in grams of gold. They are substitutes for holding physical gold. These bonds are issued by RBI on behalf of the Government of India and come with a maturity period of eight years, with an exit option from the fifth year.

Sovereign Gold Bonds when redeemed at the end of eight years, any capital gains arising at the time of redemption will be entirely tax-free. However, if you exit earlier via the early redemption window (opens after 5 years) or via the secondary market, capital gains tax will be applied similar to what is applicable for physical gold or gold mutual funds or gold ETFs.

Gold bonds pay interest at the rate of 2.50% per annum and this interest is entirely taxable as per your tax slab.



OBITUARY

SHRI VIJAY KUMAR SURANA JI

15.10.1937 - 17.10.2020

FOUNDER DIRECTOR,
SWAP CONSULTANTS PVT. LTD.





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Mutual Fund investments are subject to market risks, read all scheme related documents carefully.



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